

Decision-making guide

Mergers & Acquisition Microsimulation

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1. Simulation platform introduction

1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes the Market section, Planning, Preliminary assessments, Negotiation, Financing and Reports. Some sections must be completed first as they have an impact on other areas.

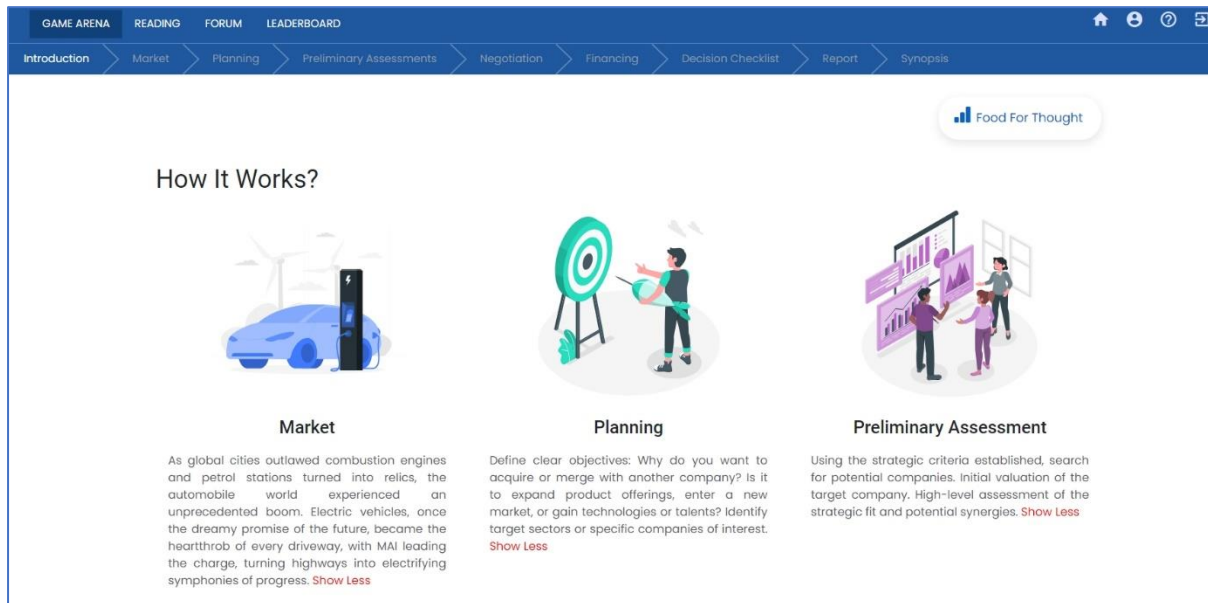


Figure 1 The Game Arena

1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.

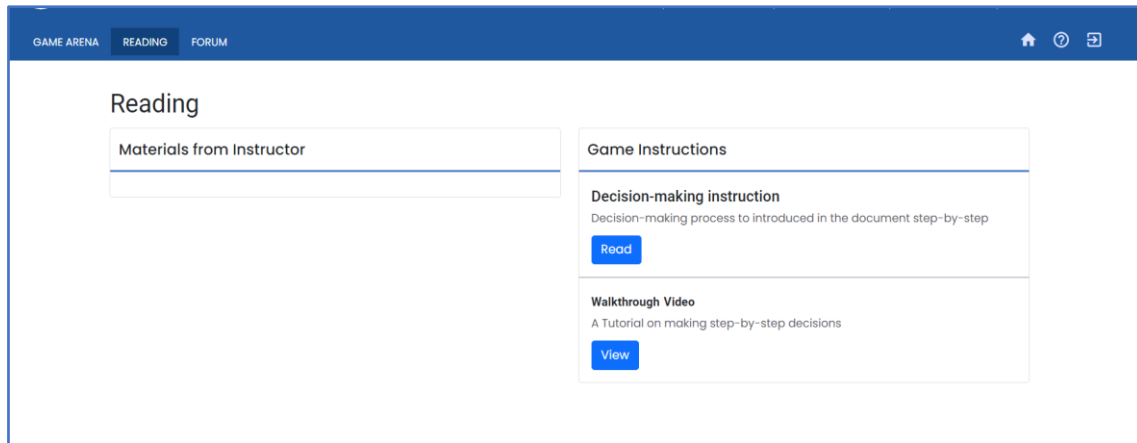


Figure 2 The Readings Section

1.3 Forum

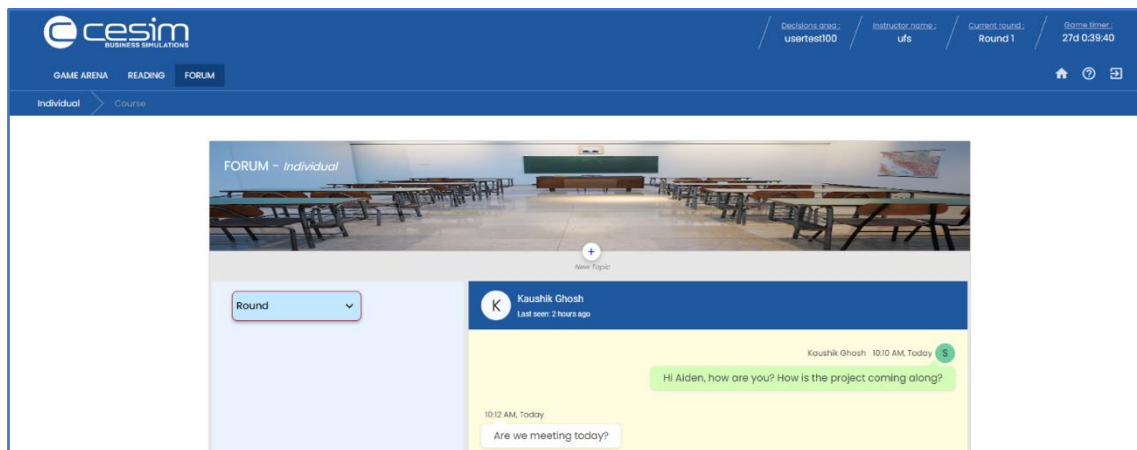


Figure 3 The Forum Section

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

1.4 Main Objective & Winning Criteria

Mumbai Auto Innovations (MAI), established in 1990 and headquartered in Mumbai, has established itself as a prominent player in the automotive industry, specializing in combustion, hybrid, and electric vehicles. As MAI navigates the evolving market dynamics, it faces three primary challenges: optimizing supply chain efficiency for electric vehicle components, expanding market presence in Southeast Asia and the Middle East, and balancing cost management with maintaining high product quality. To strategically position itself amidst these challenges, MAI is actively pursuing an acquisition opportunity to bolster its capabilities and market position. The participant, as part of the executive team, must evaluate acquisition opportunities based on their alignment with these strategic goals to strengthen market presence, supply chain resilience, and cost management.

1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

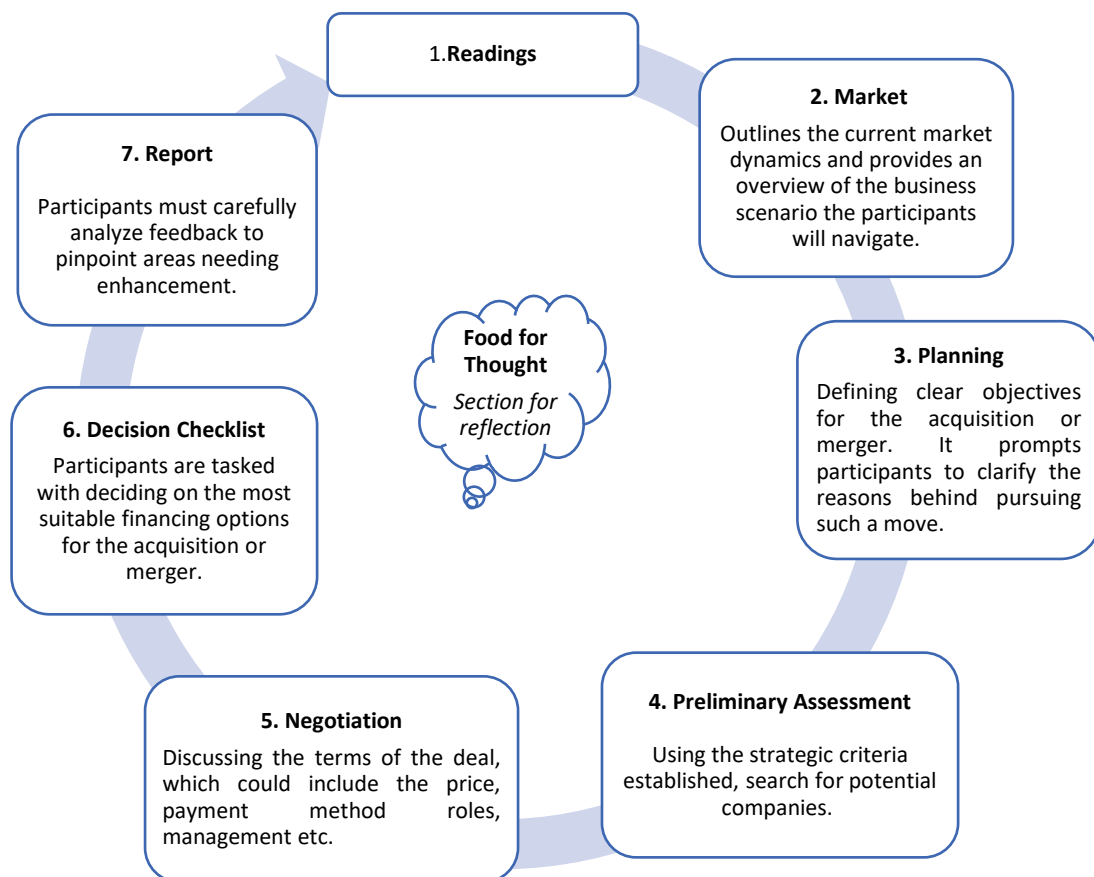


Figure 4 The Sequence of Decision-Making Process

2. Game Arena

2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

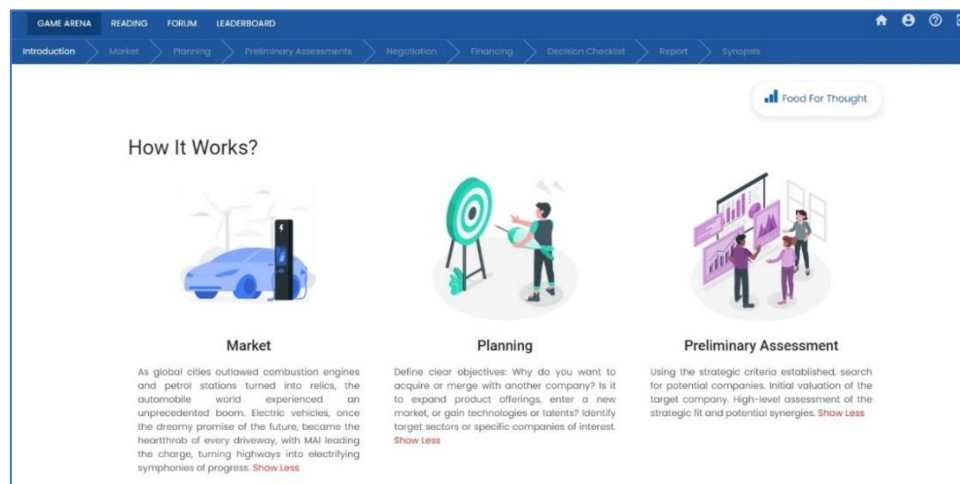


Figure 5 The Introduction Tab

2.2 Food for Thought

The "Food for Thought" section contains questions related to key decision areas, providing valuable insights to guide decision-making. Participants are encouraged to review it before addressing the decision areas, as it offers essential clarity on the decision-making process. Completion of this section is mandatory for Round one.

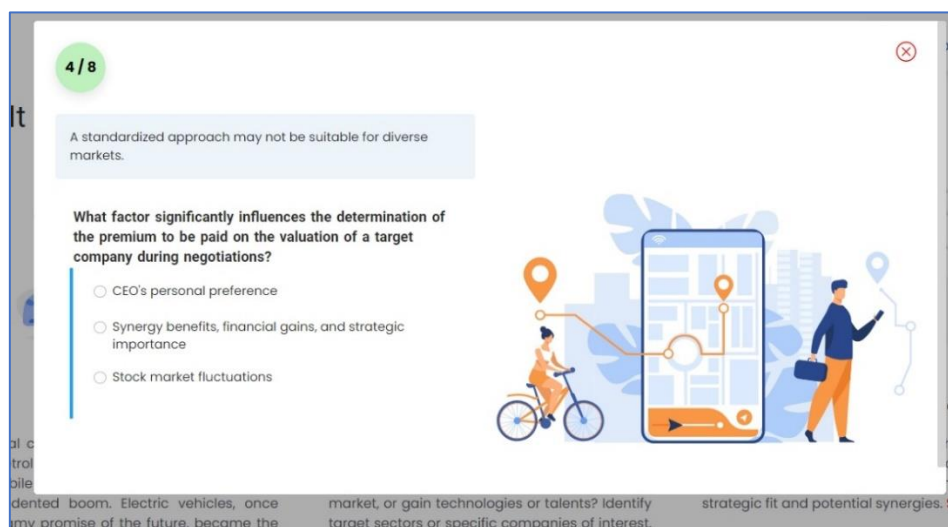


Figure 6 The Food for Thought Section in the Simulation

2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.

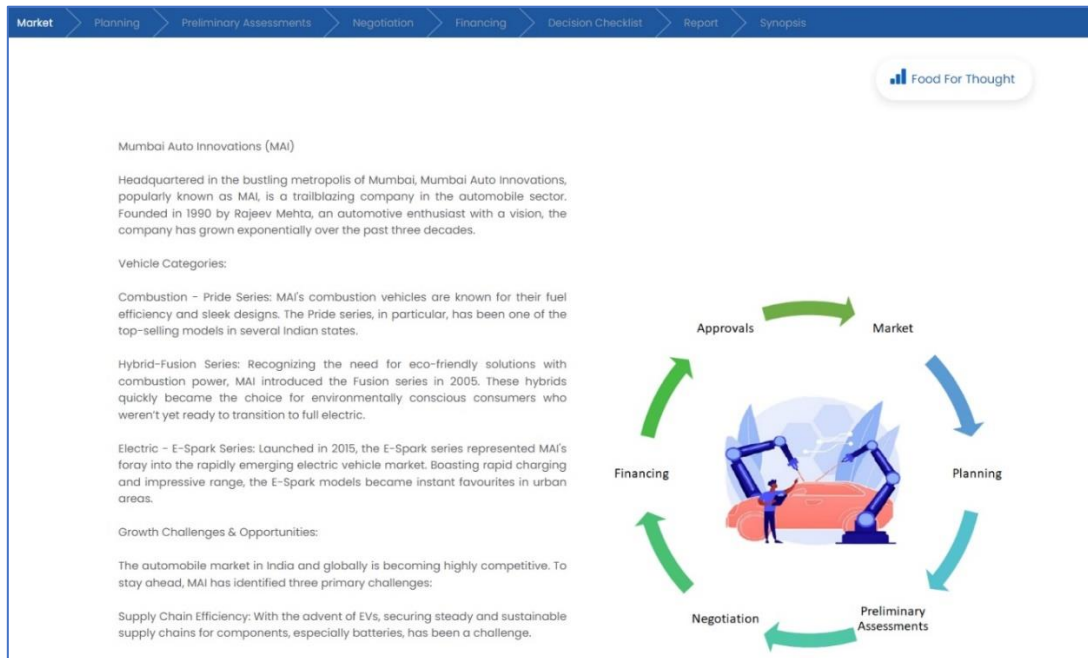


Figure 7 The Market Tab in the Game Arena

2.4 Planning

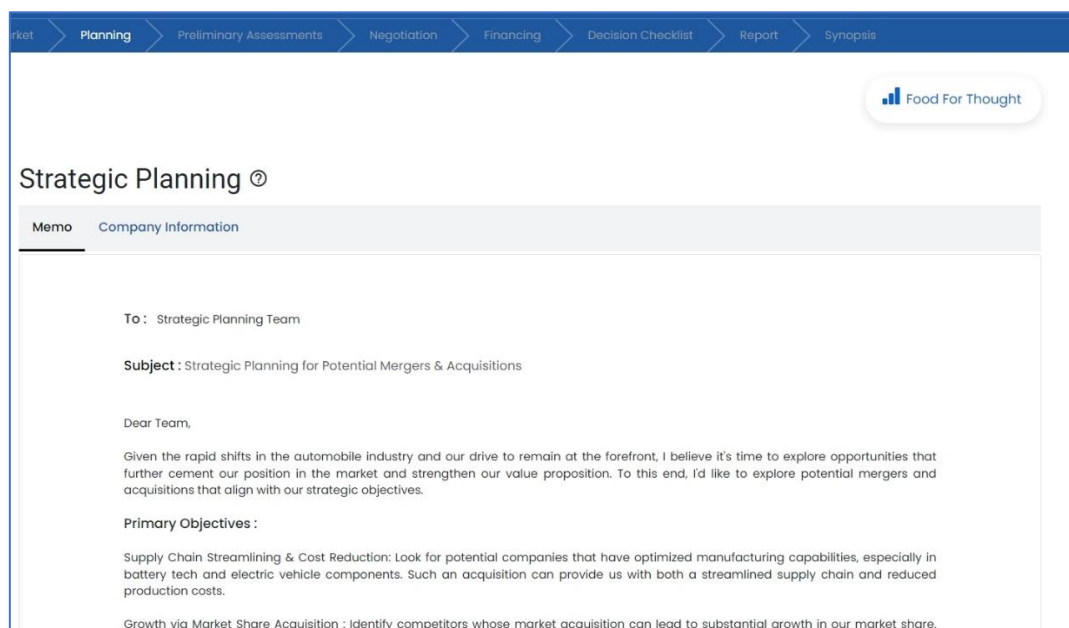


Figure 8 The Planning tab in the Game Arena

Under the planning section, two tabs are available that contains essential details about the company and the recent happenings.

The Memo section outlines the key objectives of the company's merger and acquisition (M&A) plan. It is essential for participants to thoroughly review the memo to fully understand the potential impact and strategic significance of these initiatives.

The company information includes the financial details of the companies shortlisted for the merger and acquisition. This includes the balance sheet, cash and cash equivalents, market share, income statement, and key financial ratios. Analysing this data is crucial for making informed decisions and selecting the best option from the shortlist of potential companies.

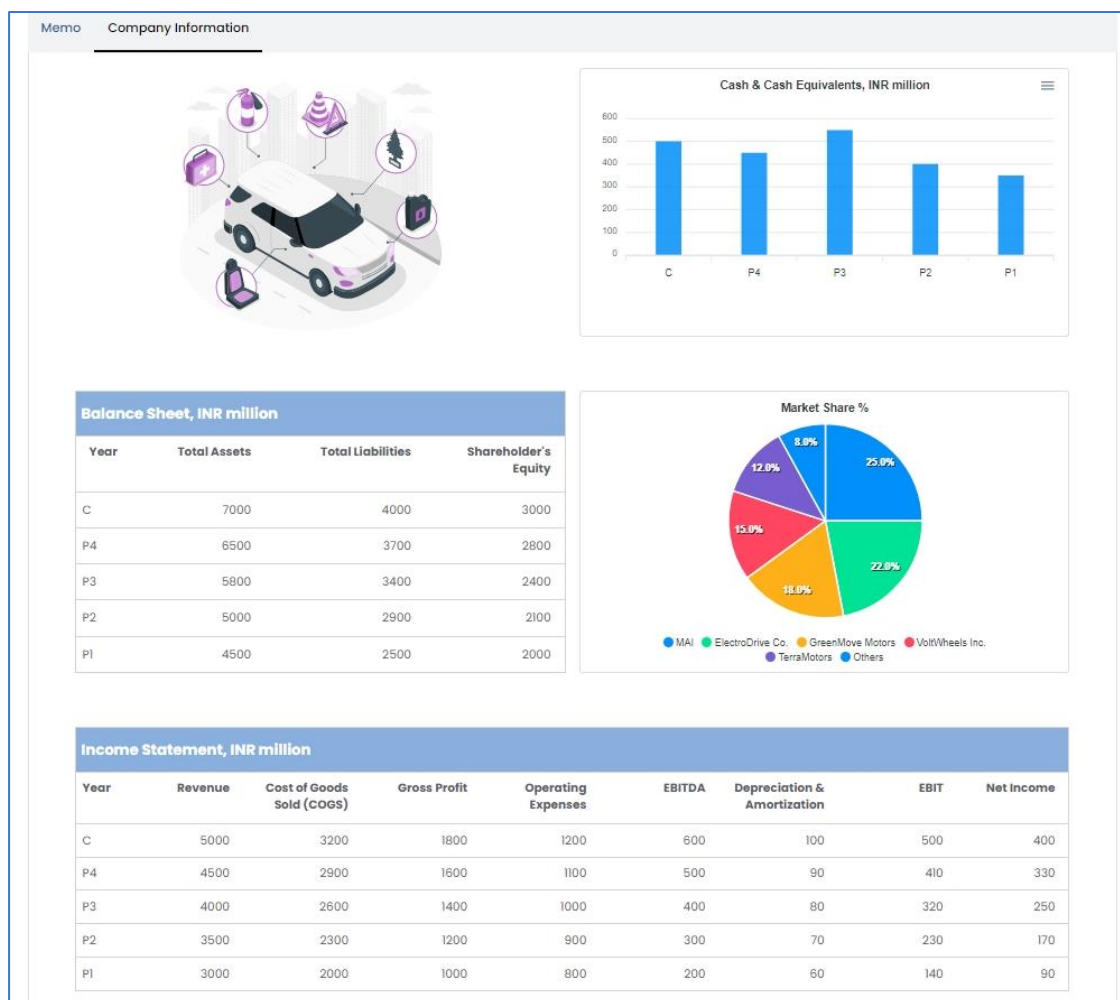


Figure 9 The Planning tab in the Game Arena

2.5 Preliminary Assessment

In this tab, participants receive profiles of the shortlisted companies, including their advantages, financials and valuation, and shareholder structure. Analysing this information will help participants select the company that demonstrates growth potential, operational efficiency, and alignment with the company's strategic goals.

Metrics such as Revenue, Gross Margin, Net Margin, and Valuation provide a clear overview of a company's financial health, profitability, and market value, facilitating informed decisions regarding mergers and acquisitions. Additionally, understanding the shareholder structure is crucial for evaluating ownership distribution, which can impact the ease of integration post-merger.

Preliminary Assessments ⓘ

 BatteryTech Solutions Profile: A global leader in advanced battery manufacturing, with patented technology for fast-charging and long-life batteries. Advantage: Controls 20% of the battery supply market, ensuring a streamlined supply chain and cost reductions. Financials & Valuation : - Revenue : INR 1.5B - Gross Margin : 40% - Net Margin : 15% - Valuation : INR 7B Shareholder Structure : Privately owned with 60%	 EfficientManufacture Corp. Profile: Specializes in inefficient vehicle component manufacturing, leveraging AI and automation. Advantage: Can reduce manufacturing costs by up to 25%. Financials & Valuation : - Revenue : INR 2B - Gross Margin : 35% - Net Margin : 10% - Valuation : INR 10B Shareholder Structure : Public company listed on	 ElectroMetals Ltd. Profile: A major supplier of rare metals used in EV batteries. Advantage: Guarantees long-term contracts at fixed prices, ensuring supply chain stability. Financials & Valuation : - Revenue : INR 3B - Gross Margin : 30% - Net Margin : 12% - Valuation : INR 15B Shareholder Structure : Public company with
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Figure 10 The Preliminary Assessment Tab in the Game Arena

2.6 Negotiation Phase

On the negotiation page, detailed information is provided about the potential benefits of the shortlisted company. This includes insights into cultural integration, expected financial benefits, synergy opportunities, and strategic importance, as well as possible stakeholder implications. After analysing this data and considering the key performance indicators provided, participants must decide on the premium their company is prepared to offer above the valuation to acquire the shortlisted company.

Negotiation ②

Target

Cultural Integration Ease, Max 10

6 (European business culture varies from the Indian landscape)

Synergy Benefits

Immediate market entry into Europe, potentially expanding MAI's global market share by 8%.

Expected Financial Benefit

Annual revenue boost of INR 200M from European sales.

Strategic Importance, Max 10

9 (Expansion into the European market)

Financials, INR Million	
Revenue	3500
Gross Profit	1155
Operating Income	981.75
Net Income	455
Assets	22500
Equity	18000
Liabilities	4500

Stakeholder's Implication

Being a publicly listed company on the LSE, EcoVehicles Plc. will have stringent governance and transparency requirements. The shareholder base, given its public nature, would expect consistent dividends and growth, and would be sensitive to the company's strategic moves in the evolving EV market.

KPI's

Gross Margin	33%
Operating Margin	28%
Net Margin	13%
ROA	2%
ROE	3%
ROCE	5%

Probability of Acceptance

80%



Premium %, over current valuation

6

Valuation, INR Billion

⋮

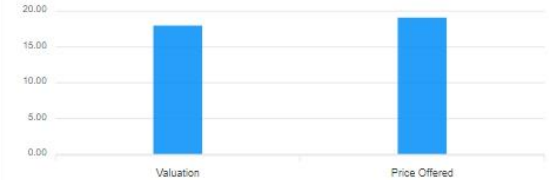


Figure 11 The Negotiation Tab in the Game Arena

2.7 Financing

Under the Finance tab, participants are tasked with determining the financing structure for the merger and acquisition. They must choose the proportion of the deal to be funded through Cash, Loans, and Stock. This decision involves selecting the most appropriate mix of these financing sources to effectively support the transaction while aligning with the company's financial strategy and goals.

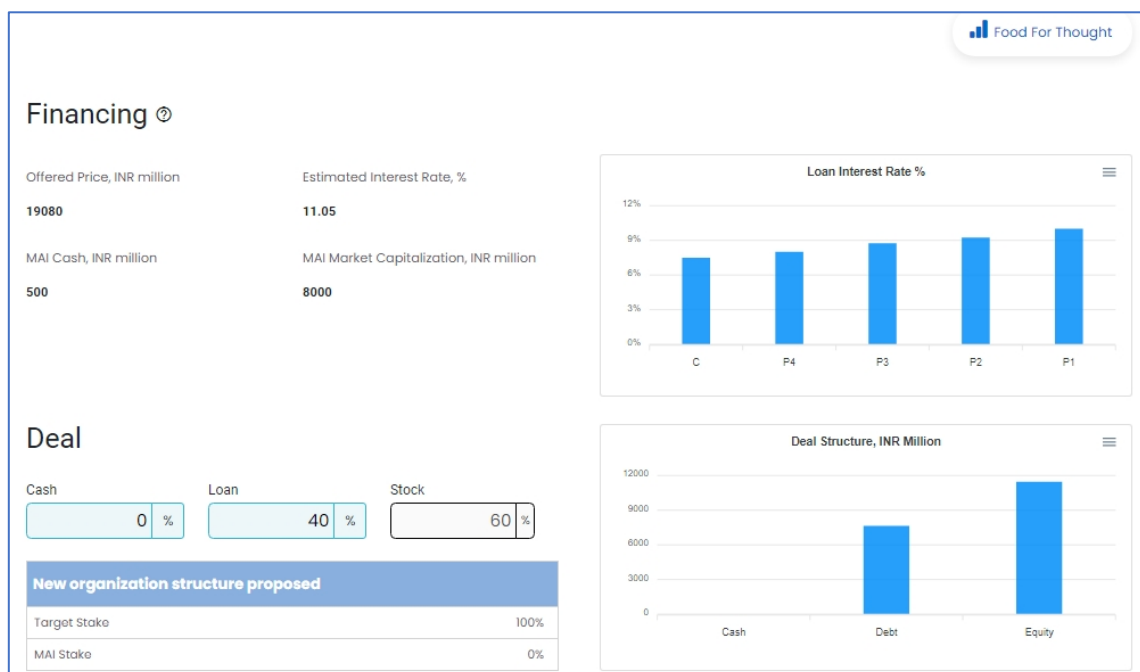


Figure 12 The Finance tab in the Game arena

2.8 The Decision Checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are finalized, participants can submit them using the Submit option if they choose to proceed with the Decision Checklist. The Decision Checklist helps participants review and finalize their decisions. Once decisions are confirmed, they can submit them using the "Submit" option and choose [save and proceed](#). It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

Decision Checklist

Round 1

User

Input

Preliminary Assessments

Target Firm

EcoVehicles Plc.

Negotiation

Premium %, over current valuation

6

Financing

Cash

0%

Loans

40%

Stock

60%

Submit

Figure 13 The Decision Checklist in the Game Arena

2.9 Report

- The report section provides the details on the participants' critical thinking abilities. It demonstrates how their thought process influenced the outcomes, providing insights into the impact of their decision-making skills.

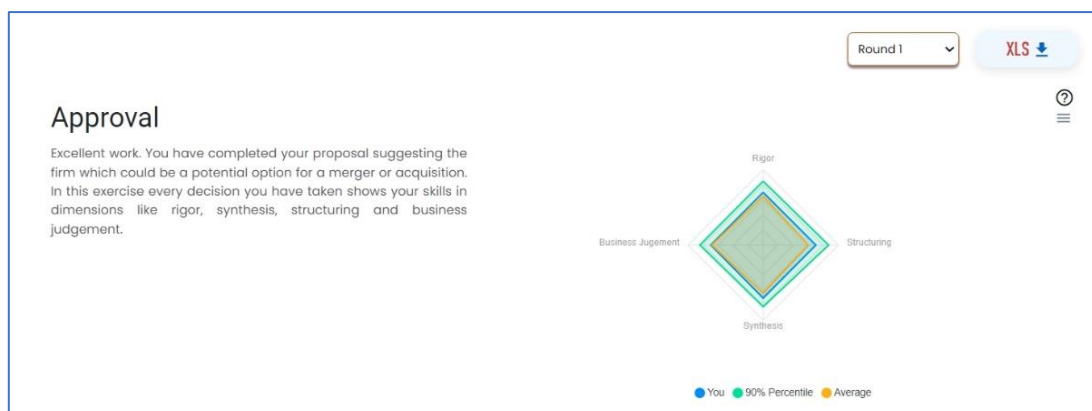


Figure 14 The Report Section

This section consists of feedback on the performance of the participant based on four metrics.

- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions
- **Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decision.

EcoVehicles Plc. Profile: European EV manufacturer with an extensive dealership network. Advantage: Instant access to the European market and established infrastructure. Financials & Valuation: Revenue: INR 3.5B Gross Margin: 33% Net Margin: 13% Valuation: INR 18B Shareholder Structure: Public company listed on the LSE.	Expected Financial Benefit Annual revenue boost of INR 200M from European sales.	Cultural Integration Ease, Max 10 6 (European business culture varies from the Indian landscape)
	Synergy Benefits Immediate market entry into Europe, potentially expanding MAI's global market share by 8%.	Strategic Importance, Max 10 9 (Expansion into the European market)

Figure 15 The Report section showing the strategic impact of the Proposal

This section of the report outlines the strategic implications of the proposal, including:

- **Company Details:** Information about the company under consideration.
- **Expected Financial Benefits:** An assessment of the anticipated financial gains from the proposal.
- **Cultural Integration Score:** An evaluation of how well the company's culture will integrate with that of the acquiring company.
- **Synergy Benefits:** The advantages gained from combining the two companies, such as cost savings or increased revenue.
- **Strategic Importance Score:** A rating of how crucial the proposal is to the strategic goals and objectives of the acquiring company.

Earned Value		Financing the deal	
BID Price, INR million	19,080	Cash, INR million	0
ASK - BID Spread, INR million	1,420	Loan, INR million	7,632
Offer Status	Not Accepted	Stock, INR million	11,448
Shareholders Perspective	Strategic Alignment: Entry into Europe can diversify revenue streams and increase global market share. Financial Feasibility: The price is exorbitant, requiring significant financing, likely leading to high debt levels and substantial equity dilution. Risk Assessment: Europe has stringent regulations, and understanding the market dynamics can be challenging. Potential Returns: Access to a mature market with potential high-value customers and diversification benefits.		
Proposed Structure	Target Stake MAI Stake		
		100%	0%
Shareholders Perspective	Likelihood of Board Approval, Max 5		
			1

Figure 16 The Report section showing the likelihood approval of the Proposal

- **The Earned Value** section contains details on
 - a) **BID Price:** The proposed price for acquiring the company.
 - b) **ASK - BID Spread:** The difference between the highest price a buyer is willing to pay for an asset (the **bid** price) and the lowest price a seller is willing to accept (the **ask** or **offer** price). An ideal bid-ask spread is narrow, indicating a liquid and efficient market where transactions can occur with minimal cost and minimal price discrepancy between buyers and sellers.
 - c) **Offer Status:** Whether the offer has been accepted or not.
- **The section Financing the Deal** contains details on how the merger or acquisition will be funded, including the mix of Cash, Loans, and Stock.
- The **Proposed Structure** outlines the stake owned by the acquiring company and the target stake held by the company being acquired.
- **Shareholders' Perspective:** Insights into how the proposal affects shareholders, including potential impacts on shareholder value and the likelihood of approval.

2.10 Synopsis

The synopsis section provides a condensed overview of the key decision areas and outcomes. It offers participants a quick reference point to grasp the essence of their decisions and their thinking ability, aiding in holistic understanding and future planning.

Round 1 XLS

Synopsis

Decisions		Proposed Structure	
Parameters	Input	Parameters	Output
Target Firm	EcoVehicles Plc.	Cash, INR million	0
Premium %, over current valuation	6	Loan, INR million	7,632
Cash	0%	Stock, INR million	11,448
Loans	40%	Target Stake	100%
Stock	60%	MAI Stake	0%

Earned Value		Thinking Ability	
Parameters	Output	Parameters	Output
BID Price, INR million	19,080	Assessment	67%
ASK - BID Spread, INR million	1,420	Negotiation	100%
Offer Status	Not Accepted	Financing	100%

Target		Stakeholder view	
Parameters	Output	Parameters	Output
Profile	Profile: European EV manufacturer with an extensive dealership network. Advantage: Instant access to the European market and established infrastructure. Financials & Valuation: Revenue: INR 3.5B Gross Margin: 33% Net Margin: 13% Valuation: INR 18B Shareholder Structure: Public company listed on the LSE.	Comments Strategic Alignment: Entry into Europe can diversify revenue streams and increase global market share. Financial Feasibility: The price is exorbitant, requiring significant financing, likely leading to high debt levels and substantial equity dilution. Risk Assessment: Europe has stringent regulations, and understanding the market dynamics can be challenging. Potential Returns: Access to a mature market with potential high-value customers and diversification benefits.	
Synergy Benefits	Immediate market entry into Europe, potentially expanding MAI's global market share by 8%.	Likelihood of Board Approval, Max 5	1
Expected Financial Benefit	Annual revenue boost of INR 200M from European sales.		
Strategic Importance, Max 10	9 (Expansion into the European market)		
Cultural Integration Ease, Max 10	6 (European business culture varies from the Indian landscape)		

Round 2

Figure 17 The Synopsis Section in the Game Arena

To proceed to the next iteration, follow these steps:

1. Navigate to the end of the synopsis page to locate the link for the next round.
2. Click on the 'Round' to advance to the next round.
3. You will be redirected to the home page.
4. Click on the card to begin the next round.